

Before the Federal Maritime Commission, Washington,

DC. Docket No. 25-08

FormuKleen, Inc.
(Complainant)

Top Shipping Systems, Corp.
(Respondent)

**RESPONDENT'S RESPONSE TO THE MOTION FOR
SUMMARY JUDGMENT**

Introduction and Overview

COMES NOW Respondent, Top Shipping Systems, Inc. ("TSS"), by and through its undersigned counsel, and files this Response in Opposition to the Motion for Summary Judgment filed by FormuKleen, Inc., and in support thereof respectfully states as follows:

1. That the Motion is not well taken and should be denied.
2. As raised in the Verified Answer filed by Respondent, the Commission lacks subject matter jurisdiction over this proceeding. The actions complained of pertain solely to Respondent's role as a customs broker, an entity that arranged for drayage, and as a warehouseman. This matter is, at its core, a dispute over storage charges and customs duties subjects which are not governed or regulated by the Shipping Act of 1984.
3. The Refiled Motion for Summary Judgment contains no allegations concerning rates charged under a tariff or at a terminal. Even assuming, arguendo, that jurisdiction existed, the Motion is premature. It was filed prior to the commencement or forwarding of any discovery. Respondent is entitled to conduct discovery to address and rebut the inaccurate factual assertions made by Complainant first and foremost, the erroneous claim that

Respondent was acting as a Non-Vessel-Operating Common Carrier (NVOCC).

4. There is no affidavit attached in support of the Motion for Summary Judgment nor are there any references made to the verified Complaint. The references to the Respondent's Answer are often inaccurate and/or unclear. The Respondent has tried to respond to the Motion for Summary Judgment despite the vague references to the record.
5. The Motion for Summary Judgment contains no reference to any alleged damages, nor does it provide any evidence, calculation, or claim for damages in support of the relief sought.
6. The Motion for Summary Judgment does not include any prayer for relief seeking specific damages, nor does it request any quantified monetary award.
7. This Motion for Summary Judgment is unusual in that it relies primarily on the Respondent's Verified Answer and includes citations that are unclear, lack proper context, and fail to establish undisputed material facts as required for summary judgment.
8. The only improper conduct in this matter has been that of the Complainant, who refused to pay its outstanding invoices. Notably, all of FormuKleen's cargo has been released by TSS.
9. The Motion violates the Rules governing motions for summary judgment in that it fails to provide clear references to the alleged undisputed facts and does not include, in compliance with the Court's Order, a copy of the Statement of Facts in a word-processed format for the Respondent. See Court Order, Docket 6, § 19.
10. This matter is more appropriately adjudicated in the state or federal courts of Miami-Dade County, Florida, which have proper jurisdiction and venue over the parties and subject matter.

LEGAL STANDARD

The Commission's Rules do not expressly provide for motions for summary judgment. However, under Commission Rule 12, to the extent that application of the Federal Rules is consistent with sound administrative practice, the Federal Rules of Civil Procedure ("FRCP") apply.

Under Federal Rule of Civil Procedure 56(c), summary judgment is appropriate when "there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law." *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986). The moving party bears the initial burden of demonstrating the absence of a genuine dispute as to any material fact. If that burden is met, the burden shifts to the non-moving party to set forth specific facts showing a genuine issue for trial. *Id.* at 324.

The non-moving party "may not rely merely on allegations or denials in its own pleadings; rather, its response must by affidavits or as otherwise provided in this rule set out specific facts showing a genuine issue for trial." FED. R. CIV. P. 56(e).

Here, there is a threshold dispute as to whether the Commission even has jurisdiction over this matter, which is itself a material fact precluding summary judgment.

A fact's "materiality" is determined by the substantive law, which identifies those facts that are critical to the outcome. *Rodland v. Judlau Contracting, Inc.*, 844 F. Supp. 2d 359, 361 (S.D.N.Y. 2012) (citing *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986)); *Bank of Am. Nat'l Tr. & Sav. Ass'n v. Envases Venezolanos, S.A.*, 740 F. Supp. 260, 263 (S.D.N.Y. 1990).

In ruling on a motion for summary judgment, the tribunal may not weigh the evidence or make credibility determinations. *Anderson*, 477 U.S. at 255. The role is limited to determining whether a genuine dispute exists as to material facts requiring a trial. *Id.* at 249.

The evidence of the non-moving party must be taken as true, all reasonable inferences must be drawn in its favor, and all doubts must be resolved in its favor. *Tolan v. Cotton*, 572 U.S. 650, 656–57 (2014); *Crawford v. Metropolitan Gov’t of Nashville & Davidson County*, 555 U.S. 271, 274 n.1 (2009); *Beard v. Banks*, 548 U.S. 521, 530–31 (2006); *Reeves v. Sanderson Plumbing Prods., Inc.*, 530 U.S. 133, 150–51 (2000); *Hunt v. Cromartie*, 526 U.S. 541, 550–55 (1999); *Eastman Kodak Co. v. Image Technical Services, Inc.*, 504 U.S. 451, 456 (1992); *Adickes v. S.H. Kress & Co.*, 398 U.S. 144, 157–59 (1970).

This is a heavy burden for the moving party, and any doubts must be resolved against summary judgment.

It is evident that the Motion is premature and that there remain significant issues of both fact and law that are unfavorable to the Complainant. Accordingly, a grant of summary judgment in its favor would be unwarranted whether at this stage or at any stage of these proceedings.

The Respondent’s Response to the Complainant’s Statement of Facts

The numerically numbered “facts” in the Motion are hereby restated with the Respondent’s responses. This entire section should be stricken because it was improperly presented. The first portion of the Statement of Facts is not set forth in concise, numbered paragraphs that would allow the Respondent to file corresponding responses, much like the deficiencies previously noted in the Complaint. Despite the existence of a separate Statement of Facts, this improper and duplicative material was nevertheless included in the Motion. At a minimum, it is redundant, has already been deemed inadequate by the Judge, and therefore should have been removed by Complainant.

With respect to the substance, TSS acknowledges that it physically received, handled, stored, and temporarily held two shipments containers CSHU4047424 and BSIU8431017 after

customs release and for purposes of domestic drayage. (See Ex. A §14). TSS did not manage or process any telex releases; rather, it received a copy of the telex release that had been sent to the agent for the NVO.

Regarding container CSHU4047424, TSS states that it was “pulled and held at our trucking partner’s yard until February 25, when it was finally delivered to FormuKleen’s warehouse after delays caused by unpaid past-due balances owed to TSS.” See Exhibit A. Regarding container BSIU8431017, TSS states that it “paid port storage fees and transferred the container to its warehouse” (*See Verified Answer, Reading Room Entry No. 8, p. 6.*) and thereafter “notified FormuKleen of cargo status, storage charges, and the process to retrieve goods.”

TSS further states that it temporarily withheld delivery of the containers for purposes of securing payment owed, including outstanding obligations both related and unrelated to the shipments at issue; that it revoked credit terms; that it advanced customs duties for the first shipment only, as such advances were provided solely as a courtesy, and did not advance customs duties for the second shipment; and that it imposed warehouse and storage charges.

TSS does not dispute that the containers were in its custody after they were no longer in international transit, nor does it dispute that release was contingent upon payment of invoices for unrelated shipments. Instead, TSS maintains that its actions were lawful, necessary, and commercially reasonable. (*See Verified Answer in its entirety and Ex A.*)

TSS declares that it revoked credit terms, ceased advancing duties, and declined to release goods unless and until outstanding amounts were satisfied. These actions were within its rights under Florida Stat. § 677.209. (*See Verified Answer, Reading Room Entry No. 8, p.7*)

Responses to Complainant’s Alleged “Facts”

(1) TSS took possession of cargo that had been shipped in international ocean commerce.

Disputed in part. TSS was not the NVOCC for these shipments; the Complainant had its own NVOCC that coordinated the ocean transportation. While the cargo had initially moved in international ocean commerce, that movement ended upon customs clearance in the United States, after which the cargo was handled solely in domestic transportation and storage arranged by TSS. (*See Ex. A ¶ 7*).

(2) Without authorization, TSS placed and kept the cargo in its or its agent's yard or warehouse after port availability.

Denied. The location where the cargo was held was not a port terminal; it was a warehouse and a trucker's yard. The cargo was temporarily held for the purpose of securing payment for amounts owed. The Complainant asserts it was not required to pay its outstanding invoices an assertion the Respondent disputes. There is no evidence that TSS lacked permission to store these items in its warehouse. The temporary retention of the cargo was lawful and undertaken to protect the Respondent's right to payment for services rendered. *See Ex. A ¶ 9*.

(3) TSS conditioned release of the cargo on payment of additional charges not relevant to those containers

Denied. The charges at issue were valid, due, and owing. With respect to container CSHU4047424, it was delivered after the Respondent received payment. With respect to container BSIU8431017, it was released to the Complainant, but amounts for related and unrelated charges remain outstanding and unpaid. The warehouse receipt expressly authorizes TSS to retain possession of cargo until all amounts owed are paid in full. *See Exhibit D. back of Warehouse Receipt*. This situation arose solely from the Complainant's failure to pay invoices when due. The Respondent's actions were lawful and consistent with its lien rights under the warehouse receipt, UCC § 7-209, and Florida Stat. § 677.209. See Warehouse Receipt attached

to the Affidavit of Ricky Villena.

(4) TSS billed FormuKleen for storage and handling while refusing release.

Denied in part. The past-due amounts included customs duties advanced by TSS for the first shipment (CSHU4047424) as a courtesy, as well as storage and handling charges. Money was and remains owed, and the Complainant has not provided evidence to the contrary. The first container was released upon payment; the second container (BSIU8431017) was released, but charges remain outstanding and unpaid. If there is any dispute as to these amounts, it constitutes a genuine issue of fact for trial. The Respondent's actions were lawful and consistent with its lien rights under the warehouse receipt, UCC § 7-209, and Florida Stat. § 677.209. The Verified Answer disputes this alleged "fact." See *Verified Answer*, at p. 4 § 3.

(5) FormuKleen was forced to navigate a series of imposed conditions to regain possession of its property, a process that is still not complete.

Denied. The only condition imposed was payment of past-due invoices for services rendered. It is undisputed that Complainant ultimately retrieved both containers one after payment was received, and the other while charges remain outstanding and unpaid. TSS lawfully exercised its lien rights under Florida Statute § 677.209(1) and UCC § 7-209, and its actions were commercially reasonable.

Memorandum of Law

This case involves a dispute over customs duties, trucking charges, and warehouse charges matters that properly belong in state or federal court, not before the Federal Maritime Commission. The Respondent provided local trucking from one point in Miami-Dade County to another, which gives jurisdiction of this dispute to the state and federal courts of Miami-Dade County, Florida. These activities were not the responsibilities of a Non-Vessel-Operating

Common Carrier (“NVOCC”).

The Complainant has failed to provide any bill of lading listing the Respondent as an NVOCC or as an ocean freight forwarder. This was an inbound shipment from another country. Customs brokers are governed by the Department of Homeland Security not by the FMC. The only bills of lading related to these shipments list other parties as carriers, and both of those parties have NVOCC numbers. (See bills of lading attached as *Exs. A–C*).

The Complainant offers nothing beyond unsubstantiated allegations that TSS acted as an NVOCC in this matter. There are no bills of lading issued in the name of TSS because they do not exist. There is no proof or documentation showing that TSS moved the cargo anywhere other than within Miami-Dade County. There is no evidence that TSS coordinated the movement from China. For purposes of these shipments, TSS was strictly limited to acting as the customs clearance broker, trucking (drayage) provider, and warehouse operator, and, in that capacity, was listed as the notify party. TSS did not act as an NVOCC, ocean freight forwarder, or as an agent handling the ocean transportation of the cargo.

A. Precedent Directly on Point

The Respondent respectfully directs the Court to *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. and Cargocare Logistics America, Inc.*, FMC Docket No. 1987(I) (served Apr. 4, 2024 by FMC). That case involved a customs broker in a proceeding before the FMC under the Shipping Act of 1984. The FMC held there was no jurisdiction because neither respondent was acting as an NVOCC.

In that decision, the Commission explained:

“Similarly, CC America cannot have violated the Shipping Act in this case because it acted as a delivery agent, not as an NVOCC, MTO, or even an ocean freight forwarder. Pursuant to 46

U.S.C. § 40102(19), an ocean freight forwarder is ‘a person that... in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers... and processes the documentation or performs related activities incident to those shipments.’ In other words, to be an ocean freight forwarder, CC America would have had to dispatch the cargo from the United States, but in this case it handled the import cargo in the United States as delivery agent for CC India, which acted as the NVOCC for the shipments in question. Accordingly, CC America could not have violated the Shipping Act on these facts.”

The Commission also found that even if it extended its review to the NVOCC (CC India), the actions were reasonable:

“On behalf of the NVOCC, CC America notified ACB of the shipments’ arrival and specifically asked ACB to pay CC America. CC America or the NVOCC did not mislead ACB about the relevant payment details or induce it to make a payment to CC USA. Assessing and collecting outstanding freight charges was indisputably within the range of lawful activities for the NVOCC and its delivery agent CC America as specified in the Commission’s regulation at 46 C.F.R. § 515.2(k)(11).”

B. Application to This Case

As in *A Customs Brokerage*, supra, TSS’s role here was limited to non-carrier functions customs brokerage, local trucking (drayage), and warehousing after the shipments cleared customs. TSS was not the NVOCC for these shipments; the Complainant had its own NVOCC that coordinated the ocean transportation. All handling by TSS was domestic in nature and took place within Miami-Dade County.

There is no legal or factual basis for FMC jurisdiction. The Shipping Act applies only to “ocean

transportation intermediaries,” “common carriers,” and other specifically defined entities under 46 U.S.C. § 40102. TSS was acting in a capacity entirely outside the scope of that definition. Additionally, there is clear authority that a NVOCC may assert a lien on cargo other than that being shipped at the time. See *In re World Imports Ltd.*, 820 F.3d 576 (3d Cir. 2016). In that case, the court held that a NVOCC can, by contractual provision, assert a general lien extending beyond the specific cargo at issue, in addition to any lien rights allowable by law. The Complainant’s statements regarding lien rights under the Shipping Act of 1984 are overly broad, misstate the applicable law, and are inapplicable to the facts of this case.

FormuKleen has presented no facts to contradict the Respondent’s position. As set forth in the Respondent’s Statement of Facts, TSS was not acting as a Non-Vessel-Operating Common Carrier (“NVOCC”) or Ocean Freight Forwarder for the shipments identified in the Complaint. TSS’s role was limited to non-carrier functions, specifically customs clearance, local trucking (drayage), and warehousing. The Respondent did not issue any house bills of lading, arrange for ocean carriage, or act as an intermediary in foreign ocean commerce with respect to these shipments. (*See Exhibit A-C in its entirety*). All bills of lading for the shipments were issued by other parties not by TSS. Any assertion that the Respondent coordinated the shipment from China is without factual or legal basis.

The Complainant Relies on Inapplicable Precedent

Complainant’s reliance on various Commission decisions is misplaced and legally inapplicable to the present matter. In each of the principal cases cited in the Complaint *Way Interglobal Network LLC v. Shenzhen Unifelix SCM Ltd.*, 8 F.M.C.2d 289 (FMC 2024); *Bimsha Int’l v. Chief Cargo Servs., Inc.*, 2013 WL 9808692, at *5 (FMC Sept. 4, 2013); and *Adenariwo v. BDP Int’l*, 2014 WL 13110647 at *1 (FMC Feb. 20, 2014) the respondents were indisputably persons

subject to the Shipping Act of 1984, as defined in 46 U.S.C. § 40102, including licensed Non-Vessel-Operating Common Carriers (“NVOCCs”), Ocean Freight Forwarders (“OFFs”), or Common Carriers. Accordingly, those matters were adjudicated within the proper jurisdictional scope of the Commission.

These cases share a critical jurisdictional feature absent here: they involved entities expressly governed by 46 U.S.C. § 40102 and therefore subject to FMC regulation. In contrast, the Respondent was not operating as a regulated entity under the Shipping Act of 1984. At all relevant times, TSS acted as a customs broker a role defined under 19 U.S.C. § 1641(a)(1) not as an NVOCC, OFF, or common carrier. “Customs broker” is not a defined term under 46 U.S.C. § 40102, nor in any provision of the Shipping Act cited by Complainant. See Exhibit A FormuKleen’s unsupported assertion that the Respondent is subject to the Shipping Act merely because it is also a licensed NVOCC is legally insufficient. The fact that TSS holds an NVOCC license does not mean it acted as one here, and in this matter, it plainly did not. The shipments in question were coordinated by Complainant’s own NVOCC, not TSS.

Complainant also appears to rely heavily on *Petra Pet, Inc. (a/k/a Petrapport) v. Panda Logistics Ltd.*, FMC Docket No. 11-14 (FMC 2013), which involved allegations of diverting and holding up ocean shipments in transit. That case is wholly distinguishable. Here, TSS’s only involvement concerned post-customs activities within Miami-Dade County, Florida specifically customs duties, warehouse fees, and drayage. The assertion that TSS acted as an NVOCC is meritless and appears to be made in bad faith to avoid the jurisdiction of Florida courts.

The FMC and federal courts have consistently held that jurisdiction under the Shipping Act is functional, not nominal. In *Landstar Express America Inc. v. FMC*, 569 F.3d 493 (D.C. Cir. 2009), the court held that even entities performing related shipping functions are not subject to

the Act unless they meet statutory definitions. The court explained that a person or entity “falls within the ambit of § 19 only when it holds itself out to the general public to provide transportation and assumes responsibility for the transportation.” *Id.* Here, TSS did neither. The bills of lading show that transportation ended in Miami and was not part of a through bill of lading.

Accordingly, the legal authority cited by Complainant while applicable to cases involving regulated entities under the Shipping Act has no relevance here. Without meeting the threshold statutory definition of a “person subject to the Act,” the Commission lacks jurisdiction. All five counts of the Complaint rest on the Shipping Act of 1984, and none apply. At a minimum, jurisdiction presents a genuine issue of fact, precluding summary judgment. Complainant cites no law extending the Shipping Act to customs brokerage or warehousing activities. TSS acted solely as a drayage provider, customs broker, and warehouse operator. See Exhibits A-C.

As set forth in the Answer, TSS asserts a lien under UCC § 7-209 and Florida Stat. § 677.209, which should be adjudicated in state court or in the United States District Court for the Southern District of Florida.

There was no violation of the Uniform Commercial Code because the cargo was never auctioned. Under Florida law, a warehouse sale requires advance notice to the owner. See Fla. Stat. § 677.210. Here, more payments were made on the cargo, and no auction occurred. The arguments of retaliation are frivolous TSS’s only “condition” for release was payment of invoices. The cargo was retrieved from the warehouse and trucking yard, and there was no requirement to initiate the statutory sale procedure.

It is remarkable that paying port storage, advancing outlay fees as a courtesy, and assessing warehouse fees could be construed as a violation of law. The Motion and Complaint rely solely

on inapplicable provisions of the Shipping Act of 1984. Respondent has denied all allegations in Sections 3.1 to 3.8 of the Complaint on that basis.

The statutory claims also fail individually:

- 46 U.S.C. § 41104(a)(4)(E) (coercive behavior): There was nothing coercive about requesting payment of undisputed invoices. *In re World Imports Ltd.*, 820 F.3d 576 (3d Cir. 2016), confirms the lawful assertion of a general lien on cargo where contractually permitted.
- 46 U.S.C. § 41102(d)(B) (retaliation/discriminatory treatment): Complainant cites no tariff or condition showing disparate treatment. No evidence suggests FormuKleen was treated differently from any other customer.
- 46 U.S.C. § 41104(a)(10) (unreasonable refusal to deal/negotiate): The record shows continued communications and negotiations. Complainant remains indebted to TSS and is attempting to use the FMC process to avoid paying its bills.

Conclusion

There is no basis for this matter to proceed before the Federal Maritime Commission. At most, this is a warehouse dispute that belongs in state or federal court. The federal statutes cited by Complainant 46 U.S.C. § 41102(c), § 41104(a)(4)(E), § 41102(d)(B), and § 41104(a)(10) are inapplicable to these facts and to this proceeding. This claim should have been brought, if anywhere, in the state or federal courts of Miami-Dade County, Florida. FormuKleen's sole basis for invoking FMC jurisdiction is the Shipping Act of 1984, but the record demonstrates that TSS was not acting as an Ocean Freight Forwarder or as an NVOCC for the shipments at issue. The documentation, undisputed facts, and controlling law all confirm that TSS's role was limited to non-carrier functions customs brokerage, drayage, and warehousing outside the scope of the

Shipping Act. Moreover, FormuKleen received its cargo at approximately the same time the Complaint was filed, thereby rendering the matter effectively moot. The record contains no evidence establishing FMC jurisdiction, nor are there any undisputed facts that would entitle the Complainant to summary judgment. On the contrary, the Court is fully within its authority to grant summary judgment in favor of the Respondent.

CERTIFICATE OF SERVICE

I certify that on the 5th day of August , 2025, a true and correct copy of the foregoing Notice of Service was hereby served by electronic mail upon the party of record for the Complainant, in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

Served to:

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Respectfully submitted,

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